

MARKET SURVEY:

An Outlook for the PCB Industry in 2015-16: The Indian Perspective



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Printed circuit boards (PCBs) are the backbone of the electronics industry.

These are deployed in almost all electronic products, ranging from consumer electronics such as personal computers, tablets, smartphones and gaming consoles to industrial electronics and also high-end commercial products including strategic electronics and medical electronics.

Considering the importance of the PCB industry in the electronics manufacturing ecosystem, July 2014 issue of *Electronics For You* published an article titled 'PCB Industry in India: Marching Ahead,' discussing how the Indian PCB industry was moving ahead despite unfavourable government policies and increased imports that competed with local products.

However, given that the electronics industry ecosystem has evolved significantly in the last one year with respect to government policies, investment climate and consumer demand, we decided to take a fresh peek into the Indian PCB industry to understand how the industry has been shaping up. This time, however, rather than going only by facts and figures available in different reports, we tried to bring to you perspectives from industry thought leaders on the PCB industry's prospects.

Signs of growth

The Indian electronics industry is projected to touch US\$ 400 billion by 2020. This, in turn, is expected to fuel a high demand for PCBs. "The Indian PCB industry is showing signs of growth at last. I can confidently say that one of the primary reasons would be Make in India initiative. There are other reasons as well, such as policy changes by the government

combined with incentive schemes, which have created a very encouraging environment for the growth of this industry," opines Anil Kumar Muniswamy, managing director, SLN Technologies, while discussing the growth-friendly changes that took place in the PCB industry in the past year.

In 2014, majority of growth in the PCB market was driven by the consumer electronics segment followed by requirement from strategic and medical electronics segments. In the near future, telecommunications, consumer electronics and industrial electronics will continue to driver growth. In these sectors, miniaturisation of semiconductor devices and demand for enhanced functionality in electronic products would drive the demand for more complex PCBs with high layer volume. "The huge push by the government for electronics manufacturing along with Make in India focus and the push from the defence sector will drive the growth of PCB industry in the country in the near future," opines Abhay B. Doshi, managing director, Fine-Line Circuits Ltd.

According to Doshi, PCB manufacturers in India mostly fall under the following segments:

1. Large-volume manufacturers (mostly double-sided PCB manufacturers and a few who produce a good amount of multi-layer PCBs)
2. Small-volume manufacturers (both double-sided PCB manufacturers and a few who produce multi-layer PCBs)
3. Small-volume fast-delivery manufacturers (both double-sided PCB manufacturers and a few who produce multi-layer PCBs)
4. Small-volume complex-design manufacturers (who produce all types of special/complex PCBs)

Doshi specifically expects the growth in the second, third and fourth type of manufacturers, and explains that, automotive,

